

Pakistan Competition Commission

I. Executive Summary

In 2023, the Competition Commission of Pakistan (CCP), after the appointment of a new management, embarked on a comprehensive transformation aimed at strengthening the enforcement of competition law. Some of the key milestones accomplished by CCP's are set out below:

- **Establishment of Market Intelligence Unit (MIU):** Pro-active detection of cartelization and identification of 162 potential cases.
- **Record Recovery of penalties:** Highest-ever recovery of penalties in the sum of 109 million PKR.
- **Unprecedented Legal Success:** 100 cases are disposed of in favor of CCP from the Competition Appellate Tribunal (CAT), various High Courts and the Supreme Court of Pakistan.
- **Establishment of a Centre of Excellence:** Completed research studies highlighting competition concerns in power, insurance, LNG, construction, and the fertilizer sector followed by policy notes to various government departments and a short documentary to create awareness.
- **The Construction of the CCP Head Office:** Ground-breaking initiative, the project aims to save 110 million PKR annually in rent, making CCP financially sustainable in the long term.
- **Early Hearing Applications Filed:** Filed early hearing applications in all pending cases across High Courts to expedite resolution.
- **Reduced Hearing Time In-house:** CCP now conducts internal hearings until the cases are concluded.
- **Cartel Whistleblowing & Advocacy Campaign:** Launched a comprehensive campaign to raise awareness of the Competition Act among consumers, investors, and policy makers etc.

- **Expeditious Processing of Pre-Merger Applications:** Processed over 122 mergers approvals in key sectors including insurance, energy, IT, logistics and textiles. This also facilitates FDI in Pakistan.

The detailed progress of CCP is provided herein below department-wise.

II. Establishment of the Market Intelligence Unit

In October 2023, the Competition Commission of Pakistan established the Market Intelligence Unit as a dedicated department for the proactive detection of potential anti-competitive practices. These include abuse of dominance, collusive conduct under prohibited agreements, deceptive marketing, and irregularities in merger and acquisition activities. The creation of the MIU marks a transformative shift in CCP's enforcement approach, embedding data-driven decision-making into the core of its operations.

The MIU is mandated to monitor market behavior, analyze relevant information, and generate actionable intelligence that facilitate enforcement, policy opinions, guidelines, and assessments, all aligned with international best practices.

Key operational pillars of the MIU include:

- **Proactive Detection:** Identifying potential violations of competition law at an early stage to prevent market distortion.
- **Industry Monitoring:** Systematic surveillance of targeted sectors through open-source intelligence and structured market surveys.
- **Data-Driven Analysis:** Leveraging modern technologies and analytical methodologies for real-time market oversight.
- **Interdepartmental Collaboration:** Coordinating closely with other CCP departments to support integrated enforcement and regulatory outcomes.

Since its inception, the MIU has played a pivotal role in advancing competition enforcement and safeguarding consumer interests. To date, the Unit has identified over 162 potential cases of anti-competitive conduct, many of which have been referred for formal investigation. Internal evaluations, based on feedback from other departments, indicate that the MIU has achieved an operational efficiency rate of 92% within this period.

A core innovation of the MIU has been the deployment of modern detection techniques grounded in programming languages and artificial intelligence to uncover collusive bidding in public procurement processes. This detection framework includes:

- **Data Collection:** Web scraping of publicly available procurement data using Python.
- **Information Extraction:** Processing of collected data using AI tools such as Google Cloud Vision AI and Microsoft Azure AI.
- **Analytical Assessment:** Examination of bidding patterns using CCP's in-house Bid-Rigging Analysis and Detection (BRAD) tool to identify indicators of collusion.

A key mandate of the MIU is to develop and maintain structured databases that support objective and consistent detection of anti-competitive conduct. Notable initiatives in this area include:

- **Regional Price Dashboard:** A digital platform developed to track prices of essential commodities across regions. It employs data-driven anomaly detection methods using R packages such as shiny dashboard, outliers, and GETS (including impulse, step, and trend indicators) to identify structural breaks in pricing data.
- **Brand Price Monitoring:** Surveillance of footwear and clothing brands to detect misleading pricing tactics, particularly fake discount offers, under the ambit of deceptive marketing practices.

III. Legal Reforms at the Competition Commission of Pakistan

The Commission was not functional due to the lack of quorum from March 2022 to July 2023. The newly appointed Commission of Pakistan (CCP) inherited a substantial legal backlog comprising over 567 cases across various judicial forums. In response, the Commission swiftly resumed enforcement functions, initiated recovery proceedings for outstanding penalties amounting to PKR 74 billion, and reinvigorated its legal and adjudicative operations.

A. Recovery of Penalties

Under a restructured legal strategy, the CCP successfully concluded recovery proceedings in 20 enforcement orders, resulting in the collection of PKR 120 million in penalties. Early hearing applications were submitted in all pending matters, and

the Commission secured 82 favorable judgments. Notably, the Sadiq Poultry judgment reaffirmed CCP's statutory authority to complete inquiries prior to judicial intervention, marking a significant precedent in Pakistan's competition law jurisprudence.

As a result of sustained litigation efforts and institutional reform, CCP witnessed an unprecedented acceleration in judicial outcomes. Within a single year, 163 decisions were issued representing the highest annual case disposal rate in the Commission's history. The Competition Appellate Tribunal alone adjudicated 113 cases, significantly reducing the volume of pending litigation and enhancing legal clarity for market participants.

Internally, the Commission adopted a fast-track adjudication model, aimed at expediting the enforcement pipeline. Most cases were resolved within two to three hearings, streamlining procedural timelines. Over the past year, CCP issued 10 major enforcement orders, with several additional cases at advanced stages of adjudication. These legal reforms underscore CCP's renewed regulatory commitment, enhanced institutional responsiveness, and alignment with international standards of transparent, timely, and data-informed antitrust enforcement.

III. Cartels and Abuse of Dominance

The Competition Commission of Pakistan has significantly strengthened its enforcement framework by integrating digital forensic capabilities and computational methods into investigations of cartelization and abuse of dominance. Since July 2023, CCP has concluded 18 inquiries into suspected anti-competitive practices, with *prima facie* violations identified in nine cases spanning critical sectors such as fertilizers, telecommunications, flat steel, broadcasting, freight transportation, and public procurement.

A notable trend emerging from these investigations is the increasing use of encrypted messaging platforms, cloud-based document sharing, and private digital forums by cartel participants posing new challenges to traditional enforcement approaches. In response, CCP established a dedicated Digital Forensics Laboratory equipped with state-of-the-art tools including Cellebrite, Oxygen Forensics, and MOBILedit. These technologies were deployed in five "enter and search" operations, enabling forensic analysis of data retrieved from mobile phones, laptops, and other digital devices. Key cases supported by this forensic unit include investigations into the flat steel market and procurement processes in the power distribution sector.

To build internal capacity, targeted training programs were conducted for investigation officers on digital evidence handling, chain of custody, and courtroom admissibility protocols. These initiatives reflect CCP's strategic pivot toward a data centric, technology empowered enforcement model, in line with global best practices in algorithmically informed competition regulation.

IV. Mergers & Acquisitions

From July 2023 onward, the Mergers and Acquisitions (M&A) Department has reviewed and approved 122 transactions across a wide array of industries, including energy, petroleum, insurance, telecom, fertilizer, healthcare, information technology, pharmaceuticals, minerals, and beverages etc. These approvals facilitated foreign direct investment amounting to PKR 42.5 billion, underscoring CCP's critical role in supporting Pakistan's economic revival and fostering a competitive investment environment.

CCP's merger control regime is designed not to impede legitimate consolidation, but to ensure that transactions do not lead to the creation or strengthening of dominant positions capable of distorting market dynamics. The M&A Department rigorously applies principles of competition economics to balance efficiency gains with the imperative to preserve fair market structures and prevent coordinated conduct post-merger.

V. Exemptions

Since 2023, the Exemptions Department has processed and granted 124 exemptions following detailed legal and economic scrutiny. Each exemption underwent a comprehensive evaluation process that included examination of sector-specific regulatory frameworks, the terms of the commercial agreements, market shares of parties involved, and compliance with the statutory criteria under the Competition Act.

The majority of exemptions granted involved clauses related to territorial exclusivity and non-compete obligations across sectors such as pharmaceuticals, consumer goods, energy, telecommunications, banking, and e-commerce. All exemptions were time-bound and included tailored conditions to prevent potential misuse. Where necessary, disclosure obligations were imposed, contingent on market developments or material changes in the nature of the agreements. This

rigorous, criteria-based approach ensures that exemptions facilitate pro-competitive outcomes without enabling anti-competitive conduct.

VI. Office of Fair Trade (OFT)

In the past year, the Office of Fair Trade (OFT) at CCP has intensified its enforcement of consumer protection provisions, particularly in the domain of deceptive marketing practices. A total of 11 inquiries were completed across sectors including real estate and construction, pharmaceuticals, fast-moving consumer goods, education, and automobiles and services. Among these, five cases involved the deceptive use of trademarks, packaging, or copyrighted material, while seven were based on the dissemination of misleading claims lacking reasonable substantiation. Two inquiries involved concurrent violations under both categories, reflecting the nuanced nature of deceptive conduct in evolving market contexts.

In its advocacy and policy advisory role, the OFT issued a formal policy note to the Pakistan Standards and Quality Control Authority (PSQCA) in 2024, recommending that cement manufacturers be required to print expiry or best-before dates on packaging. This initiative was followed by a multi-stakeholder consultation involving regulators and industry representatives.

As part of its outreach and enforcement visibility strategy, the OFT conducted four public hearings targeting 121 illegal housing schemes operating in Lahore, Kasur, Nankana Sahib, and Sheikhpura. These hearings contributed significantly to raising consumer awareness and curbing fraudulent marketing practices in the real estate sector.

In February 2025, CCP formalized inter-agency coordination through a Memorandum of Understanding (MoU) with the Punjab Food Authority, aimed at enhancing joint enforcement on matters related to deceptive labelling, food safety claims, and misleading product information. The OFT is also piloting the use of computational tools for analyzing advertisements and consumer complaints across digital platforms to improve early detection of deceptive practices and strengthen its screening capabilities in line with modern digital enforcement trends.

VII. Research Department

Since July 2023, the Research Department (RD) of the Competition Commission of Pakistan (CCP) has completed five comprehensive competition assessment

studies, four of which form a core component of the IMF's Public Investment Management Assessment (PIMA) Action Plan. These studies focused on the insurance, liquefied natural gas (LNG), power, road construction, and fertilizer sectors, assessing market structures, regulatory frameworks, and barriers to entry. Each study offered targeted policy recommendations to reduce excessive state involvement and promote competitive neutrality. Notably, the power sector report contributed to the operationalization of the Competitive Trading Bilateral Contract Market (CTBCM), advocated rationalization of system/wheeling charges, and recommended the phased withdrawal of inefficient public sector generation, laying the groundwork for retail market competition.

The LNG study provided a diagnostic review of market concentration driven by state-owned enterprises (SOEs) and recommended structural reforms such as the unbundling of gas companies, proposals now reflected in the government's broader SOE Triage reform strategy. These research outputs have had demonstrable impact, initiating dialogue across institutions. Advocacy sessions targeting 50 key stakeholders in the power sector have been held, with further outreach planned for the LNG and insurance sectors aiming to engage over 200 policymakers and regulators. Public dissemination, including short explanatory videos, has expanded awareness, with more than 5,000 views across digital platforms. In parallel, the road construction sector study promoted private sector participation by evaluating competitive conditions and recommending reduced SOE engagement.

In 2025, the Research Department is undertaking studies in the sectors of pesticides, digital markets and services, steel, gold, and auto parts. These assessments aim to identify structural and regulatory constraints to competition, with a view to formulating actionable, evidence-based reform proposals.

VIII. Centre of Excellence in Competition Law

While research is a statutory function of the CCP, the Research Department (RD) has historically operated with limited human resources, comprising only 5 to 6 officers. To institutionalize analytical capacity and strengthen its research function, CCP is in the process of transforming the RD into a Centre of Excellence in Competition Law. This strategic initiative aspires to establish the Centre as a regional thought leader, supporting policy formulation through cutting edge analysis, collaborative research, and academic engagement.

The envisioned Centre will cultivate international partnerships, foster academic linkages, and design capacity building programs focused on translating theoretical

insights into regulatory practice. It will be staffed with highly qualified professionals combining academic expertise with practical experience in competition law and economics, thereby ensuring that Pakistan's competition policy remains progressive, inclusive, and globally aligned.

IX. Interagency Cooperation for Data Access

Effective competition enforcement hinges on access to reliable and comprehensive datasets. To institutionalize access, CCP has entered into strategic cooperation agreements with multiple federal and provincial entities, aimed at improving data exchange and enforcement efficiency.

Under its statutory mandate, CCP is entitled to request information from public sector organizations, including the State Bank of Pakistan (SBP), Securities and Exchange Commission of Pakistan (SECP), and Federal Board of Revenue (FBR), without cost. To operationalize this mandate, CCP signed Memorandums of Understanding (MoUs) with SBP, SECP, and the Pakistan Telecommunication Authority (PTA), enabling real-time data exchange, coordinated investigations, and joint training programs. These arrangements have significantly enhanced investigative precision and regulatory oversight.

Additionally, the Commission has signed MoUs with the National Accountability Bureau (NAB), Pakistan Bureau of Statistics (PBS), Public Procurement Regulatory Authority (PPRA), the Urban Unit, and the Trade Development Authority of Pakistan (TDAP). These agreements are designed to ensure timely access to critical datasets, especially in areas such as public procurement and essential commodities. These institutional linkages have strengthened the CCP's ability to detect market anomalies, conduct evidence-based enforcement, and support informed policy development ultimately fostering a more competitive and consumer friendly economic environment.